

Project Proposal

Meridian Trust Bank — Operational Risk Controls Uplift

Prepared for: Linda Okwu, Director of Operational Risk, Meridian Trust Bank | **Prepared by:** Tobias Lindqvist, Engagement Manager, Risk & Compliance | **Date:** January 9, 2024 | **Proposal Reference:** PROP-2024-0114

1. Situation

Meridian Trust Bank (client ID CL-1041) received a Matters Requiring Attention (MRA) finding from its primary federal regulator in Q4 2023 related to gaps in third-party vendor risk monitoring controls within its operational risk framework. Meridian must remediate the identified gaps and demonstrate sustainable control operation ahead of its next scheduled examination.

2. Proposed Approach

CRCG proposes a three-stage engagement under the RC-120 Operational Risk Controls Uplift offering, tailored to Meridian's specific MRA findings.

- 1 **Stage 1 — Control Gap Assessment (6 weeks).** Detailed mapping of current vendor risk monitoring controls against the MRA findings and applicable regulatory guidance, producing a prioritized remediation backlog.
- 2 **Stage 2 — Control Redesign and Build (5 months).** Design and implementation of remediated controls, including a revised third-party risk tiering methodology and quarterly monitoring cadence.
- 3 **Stage 3 — Evidence Packaging and Sustainment (2 months).** Preparation of examiner-ready evidence packages and training for control owners to ensure sustainable operation post-engagement.

3. Investment and Timeline

CRCG proposes a fixed-fee investment of \$870,000 USD across an estimated 11-month timeline beginning February 19, 2024, structured as time-and-materials not-to-exceed with monthly invoicing against an agreed resource plan. This proposal's commercial terms were carried forward without amendment into the executed Statement of Work.

4. Why CRCG

CRCG's Risk & Compliance practice, led by Engagement Manager Tobias Lindqvist with support from Risk & Compliance Lead Grant Oyelaran, has completed similar MRA remediation programs for two other regional financial institutions in the past three years, both of which received clean findings at their subsequent examinations.